

**INTERNATIONAL FINANCIAL SERVICES CENTRES AUTHORITY (FUND
MANAGEMENT) REGULATIONS, 2025**

In exercise of the powers conferred by sub-section (1) of Section 28 read with sub-section (1) of Section 12 and sub-section (1) of Section 13 of the International Financial Services Centres Authority Act, 2019; Section 28C of the Securities and Exchange Board of India Act, 1992, the International Financial Services Centres Authority hereby makes the following regulations, namely: -

**CHAPTER I
PRELIMINARY**

Short title and commencement

1. (1) These regulations shall be called the International Financial Services Centres Authority (Fund Management) Regulations, 2025.
- (2) These regulations shall come into force on and from the date of their publication in the Official Gazette.

Definitions

2. (1) In these regulations, unless the context otherwise requires, the terms defined herein shall bear the meanings as assigned below, and their cognate expressions and variations shall be construed accordingly, -
 - (a) “Act” means the International Financial Services Centres Authority Act, 2019 (50 of 2019);
 - (b) “accredited investor” means any person who fulfils the eligibility criteria as specified by the Authority;
 - (c) “advertisement” shall include all forms of communication issued by or on behalf of the fund management entity that may influence investment decisions of any investor/prospective investors;
 - (d) “associate” means-
 - (i) a company or a limited liability partnership (LLP) or a body corporate in which a director or trustee or partner of the FME or the FME or any fiduciaries as defined in regulation 17 of these regulations, either individually or collectively, hold twenty per cent. (20%) or more of its paid-up equity share capital or partnership interest, as the case may be;
 - (ii) a company or a limited liability partnership or a body corporate, either individually or collectively, hold twenty per cent. (20%) or more of its paid-up equity share capital or

partnership interest, as the case may be in the FME;

(iii) Any other company or a limited liability partnership or a body corporate, in which the entity referred in clause (ii) above holds twenty per cent. (20%) or more of its paid-up equity share capital or partnership interest, as the case may be;

(e) “body corporate” shall have the meaning assigned to it under clause (11) of Section 2 of the Companies Act, 2013 (18 of 2013);

(f) “certificate of registration” means a certificate of registration granted by the Authority under regulation 12 of these regulations;

(g) “control” shall include the right to appoint majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders agreements or voting agreements or partnership agreements or in any other manner, including by holding interest, whether direct or indirect, to the extent of more than fifty per cent. (50%) of voting rights or interest:

Provided that a director or officer of an entity shall not be considered to be in control over such entity, merely by virtue of holding such position;

(h) “close ended scheme” means any scheme in which the period of maturity of the scheme is specified;

(i) “compliance officer” means any senior officer, designated so and reporting to the board of directors or head of the organization in case board is not there, who is capable of understanding the financial statements and the requirements for legal and regulatory compliance under these regulations, and who shall be responsible for compliance of policies, procedures, maintenance of records, monitoring adherence to the rules for the preservation of unpublished price sensitive information, monitoring of trades, risk management, and the implementation of the codes specified in these regulations, under the overall supervision of the board of directors of the FME or the head of an organization, as the case may be.

(j) “corpus” means the total amount of funds committed by investors to the fund management entity under a scheme by way of a written contract or any such document as on a particular date;

(k) “discretionary portfolio manager” means a portfolio manager who under a contract relating to portfolio management, exercises or may exercise, any degree of discretion as to the investment of funds or management of the portfolio of securities of the client, as the case may be;

(l) “family investment fund” means a fund, pooling money only from a single family under one or more investment vehicles and has been set up in terms of these regulations;

- (m) “foreign jurisdiction” means a country, other than India, whose securities market regulator is a signatory to International Organization of Securities Commissions’ Multilateral Memorandum of Understanding (Appendix A signatories) or a signatory to a bilateral Memorandum of Understanding with the Authority, and which is not identified in the public statement of Financial Action Task Force as:
- (i) a jurisdiction having a strategic Anti-Money Laundering or Combating the Financing of Terrorism deficiencies to which counter measures apply; or
 - (ii) a jurisdiction that has not made sufficient progress in addressing the deficiencies or has not committed to an action plan developed with the Financial Action Task Force to address the deficiencies;
- (n) “fund management entity (FME)” means an entity registered with the Authority as a Fund Management Entity under any of the categories specified in these regulations;
- (o) “fund manager” means any individual who is appointed by the FME to manage investments by whatever name called;
- (p) “fund of funds scheme” means a scheme that invests in other schemes whether in IFSC or India or foreign jurisdictions, except to the extent of funds required for meeting expenses, hedging or liquidity requirements for the purpose of repurchases, redemptions and distribution, as disclosed in the placement memorandum or offer document of the scheme;
- (q) “IFSCA” or “Authority” means the International Financial Services Centres Authority established under sub-section (1) of Section 4 of the Act;
- (r) “International Financial Services Centre (IFSC)” shall have the same meaning as assigned to it under clause (g) of sub-section (1) of Section 3 of the Act;
- (s) “inspecting authority” means one or more persons authorised by the Authority to undertake inspection of the books, accounts, records and documents of a FME or related entities in terms of these regulations;
- (t) “index scheme” means a scheme that invests in securities in the same proportion as an index of securities;
- (u) “investee company” means any company, special purpose vehicle or limited liability partnership or body corporate or real estate investment trust or infrastructure investment trust or a fund in which an investment is made;
- (v) “key managerial personnel (KMP)” means the officers or personnel of the FME who are members of its core management team and includes members of the management one level below the executive directors of the FME, functional heads and includes ‘key managerial personnel’ as defined under the Companies Act, 2013, or any other person whom the FME may designate as a key managerial personnel;
- (w) "net worth" means the aggregate value of the paid-up share capital (or capital contribution)

and all reserves created out of the profits, securities premium account and debit or credit balance of profit and loss account, after deducting the aggregate value of the accumulated losses, deferred expenditure and miscellaneous expenditure not written off, as per the balance sheet, but does not include reserves created out of revaluation of assets, write-back of depreciation and amalgamation;

- (x) “offer document” means any document by which a Registered FME (Retail) invites public for subscription in a retail scheme, exchange traded fund, or public offer by an Investment Trust;
- (y) “open ended scheme” means a scheme which is not a close ended scheme;
- (z) “placement memorandum” means any document by which a FME invites accredited investors or investors investing above a specified threshold to invest in a Venture Capital scheme or a restricted scheme or a private placement by an Investment Trust;
- (aa) “portfolio” means the total holdings of securities and financial assets belonging to any person;
- (bb) “principal officer” means an employee designated as such by the FME under sub-regulation (1) of regulation 7;
- (cc) “recognised stock exchange” means a recognised stock exchange in IFSC;
- (dd) “Registered FME” shall mean a FME which has received a Certificate of registration as Registered FME (Non-Retail) or Registered FME (Retail);
- (ee) “restricted scheme” means a scheme offered on private placement basis only to “accredited investors” or investors investing at least USD 1,50,000 and not having more than 1000 investors or such other number as may be specified by the Authority;
- (ff) “Retail scheme” means a scheme offered to all investors or a section of the investors for subscription with no ceiling as to number of investors in the scheme;
- (gg) “Scheme” or “fund” means a scheme of a FME launched under these regulations;
- (hh) “sectoral scheme” refers to a retail scheme which primarily invests in the securities of a particular sector as disclosed in its offer document;
- (ii) “single family” includes a group of individuals who are the lineal descendants of a common ancestor and includes their spouses (including widows and widowers, whether remarried or not) and children (including stepchildren, adopted children, ex nuptial children) and also includes entities such as sole proprietorship firm, partnership firm, company, limited liability partnership, trust or a body corporate, in which an individual or a group of individuals of a single family exercises control and directly or indirectly hold substantial economic interest;
- (jj) “Single Window IT Systems (SWITs)” refers to an online platform designed, *inter-alia*, to facilitate the processing of applications submitted by the applicants for obtaining

Eligible FMEs and Filing of Placement Memorandum

31. (1) A Registered FME may launch restricted schemes through private placement by filing the placement memorandum with the Authority along with the applicable fees, in the manner as may be specified by the Authority in this regard.

(2) The filing of scheme documents for restricted schemes shall be under green channel whereby the schemes filed shall be open for subscription by investors immediately upon communication from the Authority that the placement memorandum has been taken on record:

Provided that the Authority may, at any stage, offer its comments which shall suitably be incorporated by the FME in the placement memorandum.

Explanation: For the purpose of the Income Tax Act, 1961, the communication received by the FME from the Authority that the placement memorandum has been taken on record, shall be construed as Certificate of Registration.

(3) The placement memorandum for launch of the restricted scheme shall be valid for twelve (12) months from the date of communication from the Authority to the Registered FME that the placement memorandum has been taken on record, during which period the FME shall declare the first close of the scheme by achieving at least the minimum size of corpus as specified under sub-regulation (2) of regulation 35:

Provided that if a FME fails to achieve the minimum size of corpus, as specified under sub-regulation (2) of regulation 35, within the specified time period, it shall have the one-time option to extend the validity of the placement memorandum for a further period of 6 months by paying 50 per cent. (50%) of the fee as applicable for filing of a fresh scheme.

(4) The FME shall ensure that any material changes from the information provided in the placement memorandum, shall be immediately informed to the Authority.

Eligible Investors

32. (1) Restricted schemes shall not have more than one thousand (1000) investors or such number as may be specified by the Authority.

(2) Investors investing at least USD 150,000 and Accredited Investors may invest in such schemes:

Provided that in case of investors who are employees or directors or designated partners of the FME, the minimum value of investment shall be USD 40,000:

Provided further that a FME may accept investments in a Restricted scheme from multiple investors acting together as joint investors, wherein each such investor shall invest at least the minimum applicable investment amount:

Provided also that the following individuals, not more than two, when act as joint investors, the total investment by such individuals shall be at least USD 150,000:

- (i) An investor and his/her spouse;
- (ii) An investor and his/her parent;
- (iii) An investor and his/her daughter/son.

Provided also that the minimum investment threshold shall not apply to an accredited investor.

Nature and Structure of Scheme

33. (1) Restricted schemes may be launched as open ended or close ended schemes.
- (2) In case of a close ended restricted scheme, the amount to be raised and the tenure of the scheme, which shall not be less than one (1) year, shall be disclosed in the placement memorandum.
- (3) The tenure of the close ended restricted schemes may be extended up to two (2) years subject to approval of two-thirds (2/3rd) of the investors by value of their investment in the restricted scheme.
- (4) Further extension to the tenure of a close ended restricted scheme beyond the two (2) year period shall be subject to express consent of the willing investors and exit opportunity being made available to the dissenting investors.
- (5) Restricted schemes shall be constituted in IFSC as Company or LLP or Trust under the applicable laws of India.

Permissible investments

34. (1) Subject to other provisions of these regulations, a restricted scheme may invest only in the following instruments or entities in IFSC, India or foreign jurisdiction:-
- (a) Unlisted securities;
 - (b) Securities listed or to be listed or traded on stock exchanges;
 - (c) Money market instruments;
 - (d) Debt securities;
 - (e) Securitised debt instruments, which are either asset backed or mortgage-backed securities;
 - (f) Units of other investment schemes subject to appropriate disclosure in the placement memorandum;
 - (g) Derivatives including commodity derivatives subject to suitable disclosures in the placement memorandum;
 - (h) Limited liability partnerships; or
 - (i) Such other securities or financial products/assets or instruments as specified by the Authority:

Provided that pending deployment of monies, FME may invest in certificates of deposit, units of investment schemes such as overnight, liquid or money market schemes, money market